

The complaint

Mr H and Mrs F have complained that Ocaso SA, Compania de Seguros y Reaseguros (Ocaso) have declined their claim for storm and flood damage.

What happened

Mr H and Mrs F held a home insurance policy with Ocaso which was in effect from 14 December 2019 to 13 December 2020 covering both buildings and contents.

In August 2020 Mr H and Mrs F made a claim on the policy after their house was flooded following torrential rainfall. Local drainage could not cope with the speed of the rainfall, and the local dam and river burst its banks. The road outside the house became flooded, and water entered the property through the front door and the conservatory at the rear.

An insurance assessor attended the property two days later and advised that water had risen to around three feet within the property, and had caused significant damage of around £10,000.

However, Ocaso declined the claim as Mr H and Mrs F's policy included a flood exclusion clause, and so there was no cover for storm damage or flooding.

Mr H and Mrs F were unhappy about this decision and complained to us. Mr H complained that not all of the damage was from the storm. He said that some of it was caused by burst pipes, but that because Ocaso's insurance assessor has reported that it was all caused by flooding, the claim has been declined.

One of our investigators has looked into Mr H and Mrs F's complaint and she thought the claim had been fairly declined in line with the terms and conditions of the policy.

Mr H and Mrs F disagreed with our investigators view, and so the case has come to me to review.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

In this case I have to consider whether Ocaso have decided the claim in line with the terms and conditions of the policy and come to a fair and reasonable decision in declining the claim.

The policy schedule which was issued to Mr H and Mrs F has a number of endorsements at page 5 including "011 Flood Exclusion Clause". At page 6 it provides a definition of each of the endorsements on the policy which are applicable to both buildings and contents. It says:

"Endorsement 011 – Flood Exclusion Clause

It is hereby agreed that section one (Buildings) and section two (Contents) of this insurance do not cover:

- A) The escape of water from the normal confines of any artificial watercourse, lake, reservoir, canal or dam;*
- B) Inundation from the sea; or*
- C) Flood resulting from storm or tempest or any other peril other than escape of water from fixed water tanks, apparatus or pipes"*

In view of that I consider that in line with the terms and conditions of the policy, Ocaso are entitled to decline any claim in which damage is caused by the peril of flooding caused by either storm or escape of water from a dam. In this case I have seen evidence that torrential rain overnight caused the drains to overflow and the local dam and river to burst their banks, and so I think that Ocaso have fairly declined this claim in respect of any damage caused by the flooding.

I have then considered a point raised by Mr H and Mrs F that some of the damage was caused by burst pipes. I have viewed the assessors report and the exchange of e mails between Mr H and the assessor. Mr H has confirmed that he was woken just after midnight by a neighbour to say that the road was flooded, and that by 1am the water had reached the house and was starting to come inside.

I have also been provided with local news reports which confirm that 20 houses in Mr H and Mrs F's road were flooded as a result of the dam and river bursting its banks.

The assessor visited the property 2 days after the flood and her report confirms "*Water has surrounded the property and entered via the front door and conservatory at the rear. Levels have reached approximately 3 feet within the ground floor.*".

Having thought about this, I consider that it is reasonable for Ocaso to treat the damage as having occurred as a result of the flood water entering the property. The evidence from the assessor, Mr H and the news reports all indicates that the road was flooded by the torrential rainfall and the dam and river bursting their banks, flooding the whole road. I haven't seen any evidence to show there were any burst pipes within the property that the damage could be attributed to, and even if that were the case, I think it is fair for Ocaso to attribute the damage to the flooding given the evidence.

I appreciate that this will have been an extremely distressing incident for Mr H and Mrs F, and finding out after the event that you have insufficient insurance cover will have been devastating. However, I can't fairly say that Ocaso have done anything wrong in declining the claim.

My final decision

My decision is that I don't uphold this complaint and Ocaso SA, Compania de Seguros y

Reasegueros do not need to do anything further.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr H and Mrs F to accept or reject my decision before 1 December 2021.

Joanne Ward
Ombudsman